CSIS | KOREA DAILY BRIEF

Tuesday, November 3, 2026 No. 223 12 min read

TODAY AT A GLANCE

1. Kim Yo Jong, in a rare personal statement, called the FBI's $6.3B Binance attribution a 'grave political provocation' via KCNA.
2. North Korea tested cruise missiles fitted with cluster dispersal warheads, days after a similar ballistic missile test on October 29.
3. President Lee Jae-myung and Turkish President Erdogan agreed to deepen nuclear power plant and defense industry cooperation during a state visit summit in Seoul.

KOSPI	USD/KRW	BRENT	LEE APPROVAL	KIM LAST SEEN	BOK RATE
5,648.79	1,345.15	$106.50	39%	Oct 30	3.00%
−3.6%	+1.5%	+1.6%	flat Oct 27-29	4 days ago	Oct 2026

01 | TOP STORIES

Yonhap, DPRK

Kim Yo Jong calls FBI's $6.3B Binance attribution a 'grave political provocation'

Kim Yo Jong, sister of North Korean leader Kim Jong Un, issued a rare personal statement via KCNA flatly rejecting the FBI's finding that Pyongyang was responsible for the theft of more than *$6 billion* in cryptocurrency from Binance, calling it a 'sinister' attempt to damage North Korea's international image. The FBI linked the theft to the North Korean-affiliated hacking group it calls TraderTraitor.

NK News, DPRK

North Korea tests cruise missiles with cluster dispersal warheads, days after ballistic missile cluster bomb test

North Korea tested strategic cruise missiles fitted with a 'middle-sized dispersal warhead' capable of destroying a target area of *5 to 6 hectares*, according to KCNA, with photos showing what appears to be a Hwasal or Pulhwasal series long-range cruise missile releasing dozens of submunitions.

The ROK Joint Chiefs of Staff said separately that South Korea had secured superior counter-cluster munition technology approximately 20 years ago and called the delayed announcement of the October 29 launch a judgment based on operational security.

Yonhap, ROK Politics

Lee and Erdogan agree to expand nuclear plant and defense cooperation at Seoul summit

South Korean President **Lee Jae-myung** and Turkish President **Recep Tayyip Erdogan** agreed during a summit in Seoul to deepen cooperation in nuclear power plants, defense manufacturing and infrastructure, with Lee citing 'smooth' progress on Korea Electric Power Corp.'s (KEPCO) potential participation in Turkey's Sinop nuclear power plant project. Erdogan's visit is his first to South Korea since 2018 and follows their November 2025 talks in Ankara. The two countries also elevated the Korea-Turkey Free Trade Agreement Joint Committee to ministerial level, per Korean-language sources.

Hankyoreh, ROK Politics

Passport data of President Lee and 167 delegation members leaked from presidential aircraft manifest

Passport numbers, dates of birth, and other personal details of *168* people, including President Lee Jae-myung, First Lady Kim Hea-kyung, Foreign Minister **Cho Hyun**, National Security Office Director Wi Sung-lac, and classified bodyguards, were posted online in an unencrypted file titled 'Passenger List for Code One,' uploaded to a foreign malware-scanning platform in June ahead of Lee's European tour.

The presidential office said it was already aware and had taken measures; the Foreign Ministry said it viewed the case as a leak rather than a hack and is working with police to determine the source. Lee subsequently called for creation of a centralized government-wide cybersecurity body.

02 | OVERNIGHT

Korea Times, Japan-Korea

Seoul to hold separate Sado mine forced labor memorial for third straight year, Nov 13

Third consecutive separate ceremony.

Nikkei Asia, NK-Russia-China

Nikkei: North Korea leans on China and Russia to drive 3% economic growth

China and Russia propping up DPRK growth.

SBS, NK-Russia-China

North Korea's Kim Song Nam departs Pyongyang for Beijing visit

Korean Workers' Party International Secretary.

Yonhap, ROK Politics

Court cancels bail for Unification Church leader Han Hak-ja after she left designated hospital

Seoul High Court revoked bail.

Korea Times, DPRK

JCS Chairman visits soldiers injured in September DMZ mine blast, attributed to North Korea

Mine blast concluded North Korean-planted.

Polinews, US-Korea

ROK Navy launches 3,600-ton diesel submarine Seohuiham, delivery set for 2028

Built by Hanwha Ocean; delivery 2028.

Foreign Ministry, Japan-Korea, Primary

17th Korea-Japan vice minister strategic dialogue held in Karuizawa

Discussed Korean War victims' DNA identification and Korean Peninsula denuclearization.

03 | STAT OF THE DAY

$6.3B

Cryptocurrency stolen from Binance, attributed to North Korea by FBI

The FBI linked the theft to the North Korean-affiliated hacking group TraderTraitor; blockchain analytics firms Elliptic and Chainalysis traced the funds through roughly 12,000 wallets across 11 blockchains in the first four days, averaging one new wallet every 25 seconds.

CNBC, Nov 3, 2026

04 PYONGYANG WATCH

Kim Jong Un

No public appearance today, last seen 4 days ago

No KCNA watch flag. 6 provocations logged in the last 7 days.

TOP KCNA ARTICLES

Reuters / KCNA, DPRK state media

North Korea says US-ROK nuclear drill demonstrates need for stronger nuclear deterrent

North Korean state media condemned joint US-South Korea nuclear drills, stating they demonstrate the necessity of bolstering North Korea's nuclear deterrence capabilities.

SENIOR OFFICIALS

Kim Yo Jong, Korean Workers' Party Vice Department Director

Issued a statement via KCNA on November 3 rejecting FBI attribution of the Binance cryptocurrency theft to North Korea, calling it a 'grave political provocation'; it is rare for Kim to speak directly on hacking incidents.

> **Bottom line:** State media led with Kim Yo Jong's rare personal denial of the Binance hack attribution and KCNA's confirmation of the cruise missile dispersal warhead test, while a Chinese Communist Party Central Party School delegation arrived in Pyongyang and North Korea continued to court Chinese investment in Sinuiju.

05 ROK GOVERNMENT

President and ministries, Tuesday, November 3, 2026

MINISTRY OF FOREIGN AFFAIRS

Assistant Minister Jeong Eui-hye

7th Korea-Switzerland Policy Consultations held in Seoul, immediately after Swiss FM's Pyongyang visit

Assistant Minister Jeong Eui-hye and Swiss Foreign Ministry Assistant Secretary Markus Leitner held the 7th Korea-Switzerland Policy Consultations in Seoul on November 3, discussing bilateral cooperation in AI, digital and bio sectors and exchanging views on Korean Peninsula and Northeast Asian affairs. The meeting came directly after the Swiss foreign minister's recent visit to Pyongyang and the opening of Switzerland's diplomatic office there; Jeong called on Switzerland to continue its role as a member of the Neutral Nations Supervisory Commission.

Primary **Foreign Ministry**
Reported **Newsis**

MINISTRY OF FOREIGN AFFAIRS

2nd Vice Minister Kim Jina

Met with ITLOS President Maurice K. Kamga, discussed law of the sea training cooperation

2nd Vice Minister Kim Jina met with International Tribunal for the Law of the Sea President Maurice K. Kamga on November 3 to mark ITLOS's 30th anniversary and discuss cooperation on capacity building for maritime law experts, including the potential role of AI in legal training for developing countries.

Primary **Foreign Ministry**

MINISTRY OF NATIONAL DEFENSE

MND Spokesperson

MND clarifies Defense Drone Agency reorganization does not weaken overall drone capabilities

The Ministry of National Defense issued a clarification statement asserting that the restructuring of the Drone Operations Command into the Defense Drone Agency does not reduce operational or organizational capacity; rather, drone strike and other operational functions are transferred to each service branch to integrate with existing surveillance, fire, and air defense systems.

MND Spokesperson on X

PRESIDENTIAL OFFICE

President Lee Jae-myung

Delivers 2027 budget policy speech to National Assembly, proposing 820.9 trillion won spending plan

President Lee addressed the National Assembly on November 2 to present the proposed 2027 budget of 820.9 trillion won, up 12.8% from the current year, framed around 'growth for all' with three principles: bold investment eliminating waste, direct fiscal spending over tax credits, and prioritized support for non-Seoul metropolitan regions. The administration reviewed all fiscal spending from scratch, abolishing approximately 2,100 programs and restructuring 6,476 others for a combined expenditure adjustment of 107.2 trillion won.

Primary **Korea.net**

06 | US-KOREA TRADE & INVESTMENT

TARIFF STATUS

Autos and parts Section 232	**15%** Reduced
Steel and aluminum Section 232	**50%** Active
Reciprocal tariff 10% surcharge (Section 122), expired Jul 24 2026	**Expired**
Section 301 USTR, Section 301 determination, pending, no fixed date	**Active**

6 more sector rates on the trade reference page; no rate changed since the last issue.

Steel and aluminum remain at 50% and autos at 15%, both under Section 232. The Section 122 surcharge expired July 24 2026, leaving no baseline reciprocal tariff in place. Section 301 is now the primary prospective vehicle for any new US tariff measure against Korea.

INVESTMENT PLEDGE, $350B

$350B pledged; 1 project selected so far, led by Encinal gas-fired power plant, Texas ($22.3B).

$150B shipbuilding (MASGA), $200B strategic sectors, $100B US energy purchases; no official Strategic Investment Corporation drawdown figure reported to date.

07 CAPITOL HILL

AP, Statement

North Korea denies involvement in Binance hack and criticizes FBI probe

North Korea, through Kim Yo Jong, denied FBI findings attributing the $6.3 billion Binance cryptocurrency theft to a North Korean-affiliated hacking group called TraderTraitor, calling the investigation 'a trite provocation'; the denial was covered by The Hill in the context of congressional oversight of North Korean cyber financing.

08 KOREA AND THE WORLD

Anadolu Ajans, Europe, Nuclear & energy

Seoul launches emergency measures to keep $17.5B Czech nuclear project on track

South Korea launched emergency government measures to rescue its *$17.5 billion* Czech nuclear power project after a dispute between Daewoo E&C and KHNP over subcontracting terms threatened the deal; Daewoo E&C is simultaneously seeking government mediation and fresh direct talks with KHNP.

Arab News, Middle East, Defense exports

South Korea and Turkey to cooperate in nuclear, defense and infrastructure

South Korea and Turkey signed cooperation agreements in nuclear energy, defense manufacturing and infrastructure on the sidelines of the Lee-Erdogan summit; Saudi Arabia's defense minister separately held talks with South Korea's counterpart on defense cooperation and Houthi threats.

Xinhua, South Asia, Trade

Bangladesh and South Korea agree to form government-private sector working group on trade and investment

Bangladeshi Finance and Planning Minister Amir Khasru Mahmud Chowdhury and South Korean Trade Minister Park Jung-sung agreed in Seoul to establish a joint government-private sector working group to identify priority reforms, investment opportunities and mechanisms for stronger private-sector engagement.

09 BUSINESS & ECONOMY

WSJ

South Korea October inflation above target, BOK rate hike case bolstered

South Korea's October consumer price index remained above the Bank of Korea's target, bolstering the case for further interest rate increases; the Bank of Korea separately said it expects November inflation to also remain in the high 2% range due to elevated core inflation.

WSJ

South Korea chip-led exports accelerate, annual $1 trillion target within reach

South Korea's chip-led export growth accelerated, bringing the country's full-year *$1 trillion* export target closer; semiconductors account for nearly half of expected export revenues, per WSJ reporting.

Dong-A Ilbo

Korea Exchange plans next-day stock settlement by April 2028, first overhaul since 1972

The Korea Exchange and Korea Securities Depository announced a target of April 2028 for next-business-day stock settlement, requiring system upgrades by October 2027 and a six-month trial period; the US moved to next-day settlement in May 2024.

Korea Exchange | Korea Securities Depository

Mining Magazine

POSCO to expand rare earths operations in Malaysia

South Korean steel giant POSCO plans to expand its rare earths processing operations in Malaysia, extending a supply chain diversification strategy amid continued pressure on critical mineral sourcing.

POSCO

The Korea Herald

Hyundai Genesis production halted amid dispute over new models

Production of Hyundai's Genesis luxury brand has been halted due to a dispute over new model plans, disrupting one of Hyundai's highest-margin vehicle lines.

Hyundai Motor Group

10 | UPCOMING

NOV 5

DP to hold plenary vote on fabricated indictments special counsel bill

The Democratic Party plans to bring the special counsel bill on alleged fabricated indictments to a National Assembly plenary session on November 5; the People Power Party has threatened to filibuster all legislation on that day's agenda.

NOV 13

Korea to hold separate Sado mine forced labor memorial ceremony

Korean Ambassador to Japan Lee Hyuk and nine family members of forced labor victims will attend a separate memorial ceremony in Sado, Niigata Prefecture, on November 13, the third consecutive year Korea has held its own event after Japan's ceremony omitted reference to the coercive mobilization of Korean workers.

11 | ANALYSIS

OFFICIALS ON X

FM Cho Hyun (@FMChoHyun), November 3

“Following my meeting with External Affairs Minister Jaishankar last week, I was pleased to welcome India's Deputy National Security Adviser Pavan Kapoor over breakfast today. His first visit to Korea for the Korea-India Economic Security Dialogue. We had a beneficial conversation on strengthening bilateral relations and expanding economic security cooperation.”

The Korea-India Economic Security Dialogue was agreed at the April 2026 Korea-India summit; the inaugural session took place November 2-3 with Kapoor's Seoul visit. **View on X**

US Ambassador to ROK (@USAmbROK), November 3

“It was a pleasure meeting Deputy Prime Minister and Minister of Finance and Economy Lee Hyeong-il to discuss how the US and Korea can drive economic growth, strengthen supply chains, and expand our economic partnership. I look forward to building on our strong economic ties and advancing shared prosperity.”

The meeting between the US Ambassador and Deputy Prime Minister Lee Hyeong-il focused on supply chain strengthening and economic cooperation, consistent with implementation discussions under the US-Korea Strategic Trade and Investment Deal framework. **View on X**

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.

COMMENTARY

(Brief 2026-28) A Strategic Assessment of the Next U.S.-North Korea Summit: Regional Interests and Conditions for an Initial Agreement. The Sejong Institute brief argues that the negotiating environment has changed substantially since 2018-2019, with North Korea having diversified nuclear forces and deepened ties with Russia and China. It distinguishes between the political conditions for a meeting, which President Trump's interest in personal diplomacy makes achievable, and the far more demanding conditions for verifiable nuclear-material production limits. President Lee Jae-myung's government can help facilitate a summit, but an initial agreement cannot guarantee broader freezes or denuclearization. (Sung-Yoon Lee, Sejong Institute)

$6B Binance Heist Exposes How North Korea Turned Hacking Into a State Revenue Stream. The Diplomat piece frames the FBI's attribution of the $6.3 billion Binance hack as evidence of North Korea's evolution from opportunistic cybercrime to systematic state-sponsored financial extraction. The analysis highlights that laundering routes for North Korean crypto proceeds run predominantly through Chinese platforms and over-the-counter networks. The article connects the Binance theft to a broader pattern of North Korean hacking used to fund sanctions-evading procurement. (The Diplomat)

12 | PUBLIC SENTIMENT

Lee approval

39%

0 pts vs Oct 13-15
Gallup Korea
October 27-29, 2026

Trend: Down from 42% on Aug 25-27, across 7 readings.

Ruling	Opposition	Independents
Democratic	People Power	
35%	30%	28%

13 | THE WIRE

DPRK

Financial Times

FT: North Korean hackers expected to take months to launder stolen Binance billions

Experts told the Financial Times that tokens from the Binance theft are visible on public blockchains and have been split into small packages to obscure tracing, a process expected to take months; Elliptic reported more than 40,000 transactions in the first four days.

NK News

INSS report: North Korea's economic growth is a temporary military-production-driven phenomenon

A report by the Institute for National Security Strategy, affiliated with South Korea's National Intelligence Service, challenges recent media portrayals of North Korea's economic recovery, arguing the *3%* growth rate is driven by military production tied to Russia's war in Ukraine and warns living standards could suffer once wartime demand wanes.

NK News

Romania appoints charge d'affaires to Pyongyang, two months after reopening embassy

Romania's new charge d'affaires **Bogdan Marian Anghel** began his posting in Pyongyang after Romania reopened its embassy in September 2026, marking the first resumption of the mission since the pandemic; Anghel made a courtesy visit to the Chinese Embassy in North Korea on October 27.

US-KOREA

NK News

Seoul's new Defense Drone Agency replaces Drone Operations Command, distributes strike authority to each service

South Korea's Defense Drone Agency launched Monday, replacing the Drone Operations Command established in 2023 under former President Yoon Suk Yeol, stripping centralized operational control and transferring strike and other functions to the army, navy, air force and marine corps.

ROK POLITICS

Yonhap

Ruling Democratic Party adopts 'fabricated indictments' special counsel bill, targets Nov 5 plenary vote

The Democratic Party adopted as its official party line a special counsel bill to investigate allegations that the Yoon Suk Yeol-era prosecution fabricated evidence to indict then-opposition leader Lee in multiple cases; the People Power Party's floor leader threatened to filibuster every bill on the agenda if the measure reaches a plenary session.

14 | SATELLITE & LOCATION WATCH

Elevated or alert, 2 of 11 sites: Yongbyon Nuclear Complex; Sohae Satellite Launch Station.

New imagery reports, Nov 03

Kim Jong Un's 80-meter yacht departs Wonsan after three-month summer anchorage

Daily NK analysis of satellite imagery shows Kim Jong Un's 80-meter luxury yacht spent approximately three months of summer 2026 anchored off the Kim family's seaside villa in Wonsan. The vessel departed those waters in mid-October 2026. The yacht is reserved for the exclusive use of the North Korean leader's family.

Yellow Sea NLL

Daily NK

ACTIVITY, RISING

Sinuiju-Dandong (NK-China border)

38 North satellite imagery from October 16 confirms trucks traversing the New Yalu River (DPRK-Friendship) Bridge one day after the October 15 official opening, marking the start of commercial vehicle traffic. Daily NK reports (Oct 31) that North Korean trucks have still not joined Chinese cargo trucks on the bridge two weeks after the Oct 15 opening; North Korean transport officials are still preparing vehicles. North Korea-China trade reached $299M in September 2026, the second-highest monthly total in 2026. Kim Jong Un crossed the New Yalu River Bridge on October 24 during his unannounced visit to Dandong. Daily NK reports on Nov 3, 2026 that North Korea is courting Chinese investors to build hotels and shopping complexes in Sinuiju, with officials pitching lodging and commercial projects following the revival of Chinese interest after the New Yalu River Bridge opening and Kim's October visit to Dandong.

imagery as of 2026-11-03

10 other monitored sites: no new reporting since the last issue.

That's today's brief. No. 223

Feedback and tips are welcome. Write to **alim@csis.org**.

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